Singapore Company Update

OCBC

Bloomberg: OCBC SP | Reuters: OCBC.SI

Refer to important disclosures at the end of this report

DBS Group Research . Equity

27 Feb 2025

HOLD

Last Traded Price (26 Feb 2025): SGD17.20 (STI : 3,908.05)
Price Target 12-mth: SGD17.60 (2% upside) (Prev SGD16.10)

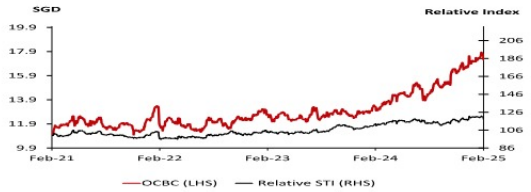
Analysts

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Singapore Research Team equityresearch3@dbs.com

What's New

- 4Q24 revenue and net profit below consensus expectations
- Higher specific allowance q/q due to downgrade of one Hong Kong CRE account
- Announces SGD2.5bn capital distribution over two years, comprising special dividend and SGD1bn share buyback
- Maintain HOLD with higher TP of SGD 17.60

Price Relative



Forecasts and Valuation

FY Dec (SGD mn)	2023A	2024A	2025F	2026F
Pre-prov. Profit	8,181	8,672	8,390	8,457
Net Profit	7,021	7,587	7,348	7,505
Net Pft (Pre Ex.)	7,021	7,587	7,348	7,505
Net Pft Gth (Pre-ex) (%)	27.1	8.1	(3.2)	2.1
EPS (S cts)	156	169	164	167
EPS Pre Ex. (S cts)	156	169	164	167
EPS Gth Pre Ex (%)	27	8	(3)	2
Diluted EPS (S cts)	156	169	164	167
PE Pre Ex. (X)	11.0	10.2	10.5	10.3
Net DPS (S cts)	83.1	101.7	87.0	88.9
Div Yield (%)	4.8	5.9	5.1	5.2
ROAE Pre Ex. (%)	13.3	13.4	12.0	11.6
ROAE (%)	13.3	13.4	12.0	11.6
ROA (%)	1.3	1.3	1.2	1.2
BV Per Share (S cts)	1,205	1,320	1,397	1,475
P/Book Value (x)	1.4	1.3	1.2	1.2
Earnings Rev (%):			(4)	(4)
Consensus EPS (S cts):			169.2	173.8
Other Broker Recs:		B: 8	S: 1	H: 9

Source of all data on this page: Company, DBS, Bloomberg

Joining the share buybacks trend

Investment Thesis:

Driving growth across Asia to achieve ~13%-14% ROE by 2025. OCBC plans to accelerate its growth trajectory and launched a refreshed strategy. Through its four growth pillars (capture rising Asian wealth, support increasing trade and investment flows, unlock value from new economy through digitization, and drive sustainability), OCBC aims to achieve an incremental SGD3bn in cumulative revenue and positive JAWs in 2023-2025 to achieve ~13%-14% ROE by 2025. Currently, OCBC's shareholding in GEH has risen to 93.72% (July 2024: 93.52%). GEH has been given an extension till May 2025 to comply with the free-float rule.

FY25 NIM expected to decline; less Fed cuts could provide upside to net interest income (NII). NIM in 4Q24 declined 3bps q/q to 2.15%. Management has guided for FY25F NIM in the region to be around 2% as the bank anticipates three rate cuts. Less Fed cuts could provide upside to FY25F NII.

Downside risks from asset quality cushioned by high non-performing loan (NPL) coverage ratio. We remain watchful for asset quality risks as interest rates continue to remain high, especially for the commercial real estate (CRE) sector, which has seen weakness. In 4Q24, one Hong Kong CRE account was downgraded, leading to an increase in specific allowance. A credit cycle could derate the sector.

Maintain HOLD with higher TP of SGD17.60 for clarity on capital management plans. Our TP is based on the Gordon Growth Model (13.8% ROE, 3% growth, and 12% cost of equity). Our TP represents ~1.3x FY25F, about 1SD above OCBC's historical 12-year average P/BV (one-year forward). We believe this is a fair valuation, as we see limited catalysts ahead for OCBC's share price. Downside to OCBC's share price will be supported by its strong NPL coverage ratio of 159%. We trimmed our earnings marginally by 4% for FY25-26 largely on changes to net interest income and NIM assumptions.

Key Risks

Deteriorating asset quality. Higher-than-expected NPLs, high inflationary pressure, and recessionary risks could unwind expectations for credit cost and NPL declines, thus posing risks to earnings.

Fed cuts. Faster-than-expected Fed cuts also pose downside risks to our earnings estimates.

At A Glance

Issued Capital (mn shrs)	4,499
Mkt. Cap (SGDmn/USDmn)	77,430 / 57,849
Major Shareholders (%)	
Selat Pte Ltd	14.4
Free Float (%)	85.6
3m Avg. Daily Val (USDmn)	59.8
GIC Industry : Financial / Banks	

WHAT'S NEW
DBS Insights Direct
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ed: BM/ sa: AS, PY, CS

SGD2.5bn capital distribution over two years

4Q24 revenue and net profit below consensus expectations. OCBC reported 4Q24 revenue of SGD3,416mn (+4% y/y, -10% q/q), 3% below consensus, with net profit of SGD1,687mn (+4% y/y, -15% q/q), 5% below consensus. Operating expenses rose 19% y/y and 7% q/q to SGD1,560mn, driven by higher IT-related, year-end business promotion costs, expenses incurred to invest in the group's strategic initiatives, as well as a one-off payment totaling SGD7.5mn to junior employees, to assist with ongoing cost-of-living pressures. As expense growth outpaced income growth, the cost-to-income ratio (CIR) rose to 45.7% (3Q24: 38.5%). Capital ratios remained strong, with transitional final Basel III reforms CET1 at 17.1% (3Q24: 17.2%) while total capital adequacy ratio (CAR) was 19.7% (3Q24: 19.8%). 4Q24 NII was SGD2,455mn (flat y/y, +1% q/q), primarily attributable to a 2% increase in average assets which more than offset a 3bps q/q decline in NIM.

Non-interest income declined q/q, mainly due to lower trading and insurance income. Non-interest income was SGD961mn (+18% y/y, -30% q/q). Net fees and commissions came in at SGD517mn (+12% y/y, +2% q/q), driven by higher wealth management fees as well as brokerage and fund management fees, partially offset by lower investment banking fees. Trading income of SGD303mn (+37% y/y, -40% q/q) declined q/q, partly due to seasonality. Profit from GEH stood at SGD101mn (+15% y/y, -57% q/q) due to a negative impact from changes in the medical insurance environment in GEH's key markets. Net gains from investment securities decline to SGD40mn (-2% y/y, -67% q/q).

Lower credit costs of 21bps; NPL stable at 0.9%. 4Q24 credit costs fell q/q to 21bps (3Q24: 22bps). Total allowances of SGD208mn, 21bps (3Q24: SGD169mn, 22bps) including general allowances (stage 1+2): SGD53mn, 6bps (3Q24: SGD132mn, 16bps) and specific allowances (stage 3): SGD155mn, 15bps (3Q24: SGD37mn, 6bps) saw an uptick, driven by the downgrading of one Hong Kong CRE account during the quarter. The NPL ratio remained stable at 0.9%, and allowance coverage declined to 159% (3Q24: 164%).

FY25F targets and SGD2.5bn capital distribution over two years. Management expects FY25F NIM in the region to decline to around 2.0% as the bank anticipates three rate cuts in 2025. Management projects FY25F loan growth to be in the mid-single digits, with the CIR in the low 40s and credit costs within the range of 20-25bps. As part of the capital distribution strategy, management has announced a SGD2.5bn capital distribution over two years. The package consists of special dividends for FY24 and FY25 set at a 10% payout of annual net profit and share buybacks over a two-year period. OCBC is targeting for a total dividend payout ratio of 60% annually for FY24 and FY25, comprising its target ordinary dividend payout ratio of 50% and a 10% from the special dividend payout.

Takeaways from management briefing:
Capital management strategy: Management has announced to return the remaining SGD2.5bn in capital after special dividend via share buybacks over two years, estimating ~SGD1bn, subjected to market conditions. The shares will be acquired from the open market and subsequently cancelled. However, the bank is not looking to buy back at the current price level. After the payment of the proposed final and special dividends, the pro forma CET1 ratio is expected to stand at 14.3%.

NIM: Management anticipates up to three rate cuts in 2025, of up to 75bps, but will reassess this outlook in March following the next FOMC meeting.

Wealth: Net new money was roughly SGD21bn for FY24 and SGD8.5bn for 4Q24. Management noted that a significant portion of these inflows is being allocated towards investments rather than deposits.

Loans and asset quality: OCBC saw a notable increase in loan to the transportation, storage, and communications sectors, which is in line with the group's strategy to capture new economy and fast-growing industries. Management downgraded one mid-cap HK CRE account but has not observed significant stress across the broader HK CRE portfolio. The HK CRE portfolio is primarily comprised of large-cap exposures, while mid-tier cap make up about a quarter of the book.

GEH: GEH is part of a major strategic step to strengthen OCBC's wealth management franchise. Management's ambition is to position OCBC as a leading wealth management player in Asia.

Johor-Singapore Special Economic Zone (JS-SEZ): OCBC has maintained a strong presence in Johor for many years, with seven branches already operating in the region. The bank began evaluating JS-SEZ over a year ago and has observed interest not only in commercial banking but also in retail banking. Given its expertise and deep-rooted presence in Johor, OCBC is allocating resources to enhance its offerings. While 98% of its customers in Johor transact digitally, OCBC recognizes that physical branches continue to play a crucial role.

Company Background

The OCBC Bank group of businesses (OCBC) comprises a family of companies owned by Singapore's longest established local bank.

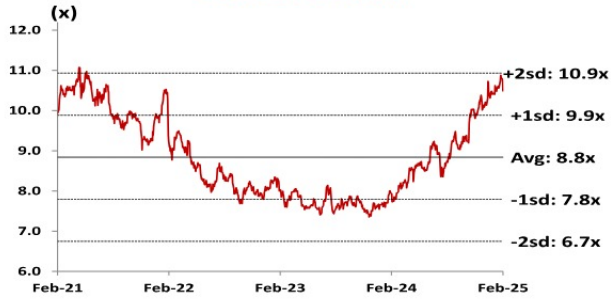
Quarterly / Interim Income Statement (SGDmn)

FY Dec	4Q2023	3Q2024	4Q2024	% chg y/y	% chg q/q
Net Interest Income	2,462	2,433	2,455	(0.3)	0.9
Non-Interest Income	811	1,369	961	18.5	(29.8)
Operating Income	**3,273**	**3,802**	**3,416**	**4.4**	**(10.2)**
Operating Expenses	(1,336)	(1,470)	(1,565)	17.1	6.5
Pre-Provision Profit	**1,937**	**2,332**	**1,851**	**(4.4)**	**(20.6)**
Provisions	(187)	(169)	(208)	11.2	23.1
Associates	189	251	245	29.6	(2.4)
Exceptionals	0.0	0.0	0.0	-	-
Pretax Profit	**1,939**	**2,414**	**1,888**	**(2.6)**	**(21.8)**
Taxation	(317)	(440)	(201)	(36.6)	(54.3)
Minority Interests	0.0	0.0	0.0	-	-
Net Profit	**1,622**	**1,974**	**1,687**	**4.0**	**(14.5)**
Growth (%)					
Net Interest Income Gth	0.2	0.1	0.9		
Net Profit Gth	(10.4)	1.5	(14.5)		
Key ratio (%)					
NIM	2.3	2.3	2.2		
NPL ratio	1.0	0.9	0.9		
Loan-to deposit	80.5	81.6	80.7		
Cost-to-income	40.0	38.5	45.7		
Total CAR	18.1	19.8	19.7		

Source of all data: Company, DBS

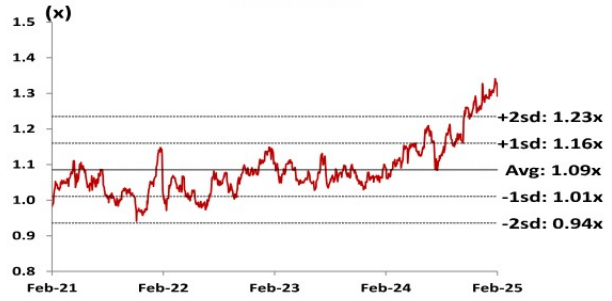
Historical PE and PB band

Forward PE Band (x)



Source: Bloomberg, DBS estimates

PB band (x)



Source: Bloomberg, DBS estimates

Key Assumptions

FY Dec	2022A	2023A	2024A	2025F	2026F
Gross Loans Growth	1.8	0.6	7.6	6.3	5.0
Customer Deposits Growth	2.2	3.9	7.4	2.0	1.5
Yld. On Earnings Assets	2.9	4.9	5.1	4.2	4.1
Avg Cost Of Funds	1.0	2.8	3.1	2.3	2.2

Income Statement (SGD mn)

FY Dec	2022A	2023A	2024A	2025F	2026F
Net Interest Income	7,688	9,645	9,755	9,247	9,415
Non-Interest Income	3,598	3,862	4,718	5,116	5,252
Operating Income	**11,286**	**13,507**	**14,473**	**14,363**	**14,667**
Operating Expenses	(4,942)	(5,326)	(5,801)	(5,973)	(6,210)
Pre-provision Profit	**6,344**	**8,181**	**8,672**	**8,390**	**8,457**
Provisions	(584)	(733)	(690)	(673)	(662)
Associates	910	953	994	1,093	1,203
Exceptionals	0	0	0	0	0
Pre-tax Profit	**6,670**	**8,401**	**8,976**	**8,810**	**8,998**
Taxation	(1,031)	(1,236)	(1,228)	(1,304)	(1,332)
Minority Interests	(113)	(144)	(161)	(158)	(161)
Preference Dividend	0	0	0	0	0
Net Profit	**5,526**	**7,021**	**7,587**	**7,348**	**7,505**
Net Profit before Except.	5,526	7,021	7,587	7,348	7,505
Growth (%)					
Net Interest Income Gth	31.3	25.5	1.1	(5.2)	1.8
Net Profit Gth bef Except	13.8	27.1	8.1	(3.2)	2.1
Margins, Costs & Efficiency (%)					
Spread	1.9	2.1	2.0	2.0	1.9
Net Interest Margin	1.9	2.3	2.2	2.0	2.0
Cost-to-Income Ratio	39.1	35.4	36.5	38.9	39.6
Business Mix (%)					
Net Int. Inc / Opg Inc.	68.1	71.4	67.4	64.4	64.2
Non-Int. Inc / Opg inc.	31.9	28.6	32.6	35.6	35.8
Fee Inc / Opg Income	16.4	13.4	13.6	15.5	16.4
Oth Non-Int Inc/Opg Inc	15.5	15.2	19.0	20.2	19.4
Profitability (%)					
ROAE Pre Ex.	10.6	13.3	13.4	12.0	11.6
ROAE	10.6	13.3	13.4	12.0	11.6
ROA Pre Ex.	1.0	1.3	1.3	1.2	1.2
ROA	1.0	1.3	1.3	1.2	1.2

Source: Company, DBS

Quarterly / Interim Income Statement (SGD mn)

FY Dec	4Q2023	1Q2024	2Q2024	3Q2024	4Q2024
Net Interest Income	2,462	2,437	2,430	2,433	2,455
Non-Interest Income	811	1,189	1,199	1,369	961
Operating Income	**3,273**	**3,626**	**3,629**	**3,802**	**3,416**
Operating Expenses	(1,336)	(1,371)	(1,395)	(1,470)	(1,565)
Pre-Provision Profit	**1,937**	**2,255**	**2,234**	**2,332**	**1,851**
Provisions	(187)	(169)	(144)	(169)	(208)
Associates	189	255	243	251	245
Exceptionals	0	0	0	0	0
Pretax Profit	**1,939**	**2,341**	**2,333**	**2,414**	**1,888**
Taxation	(317)	(359)	(389)	(440)	(201)
Minority Interests	0	0	0	0	0
Net Profit	**1,622**	**1,982**	**1,944**	**1,974**	**1,687**
Growth (%)					
Net Interest Income Gth	0.2	(1.0)	(0.3)	0.1	0.9
Net Profit Gth	(10.4)	22.2	(1.9)	1.5	(14.5)

Balance Sheet (SGD mn)

FY Dec	2022A	2023A	2024A	2025F	2026F
Cash/Bank Balance	34,966	34,286	34,599	35,291	35,820
Government Securities	39,367	45,630	44,685	46,472	48,331
Inter Bank Assets	30,244	38,051	42,407	26,786	28,097
Total Net Loans & Advs.	291,467	292,754	315,096	334,829	351,212
Investment	28,010	36,591	43,413	33,483	35,121
Associates	6,353	7,003	8,153	9,246	10,449
Fixed Assets	4,246	4,251	4,400	4,620	4,851
Goodwill	4,643	4,501	4,504	5,160	5,160
Other Assets	22,631	20,840	25,502	26,786	24,585
Life Ass Fund Inv Assets	94,997	97,517	102,291	107,406	110,628
Total Assets	**556,924**	**581,424**	**625,050**	**630,080**	**654,255**
Customer Deposits	350,081	363,770	390,687	398,501	404,478
Inter Bank Deposits	10,046	10,884	11,565	3,674	18,007
Debts/Borrowings	21,938	26,553	31,553	31,553	31,553
Others	26,225	25,019	27,933	29,430	29,604
Minorities	1,308	1,384	1,064	1,222	1,383
Shareholders' Funds	51,117	54,170	59,316	62,770	66,297
Life Ass Fund Liabs	96,209	99,644	102,932	102,932	102,932
Total Liab& S/H's Funds	**556,924**	**581,424**	**625,050**	**630,080**	**654,255**

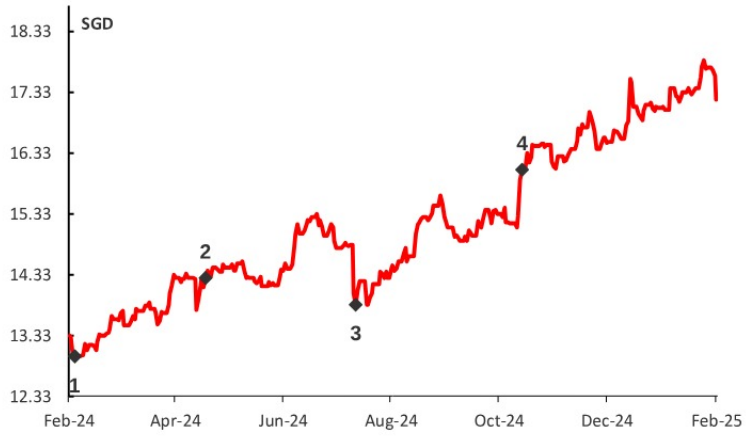
Source: Company, DBS

Financial Stability Measures (%)

FY Dec	2022A	2023A	2024A	2025F	2026F
Balance Sheet Structure					
Loan-to-Deposit Ratio	83.3	80.5	80.7	84.0	86.8
Net Loans / Total Assets	52.3	50.4	50.4	53.1	53.7
Investment / Total Assets	5.0	6.3	6.9	5.3	5.4
Cust . Dep./Int. Bear. Liab.	91.6	90.7	90.1	91.9	89.1
Interbank Dep / Int. Bear.	2.6	2.7	2.7	0.8	4.0
Asset Quality					
NPL / Total Gross Loans	1.1	0.9	0.9	1.8	1.8
NPL / Total Assets	0.6	0.5	0.5	1.0	1.0
Loan Loss Reserve Coverage	103.8	139.0	144.0	75.2	79.6
Provision Charge-Off Rate	0.2	0.2	0.2	0.2	0.2
Capital Strength					
Total CAR	17.7	18.1	19.7	20.7	19.5
Tier-1 CAR	15.2	15.9	17.1	18.1	17.2

Source: Company, DBS Bank

Target Price & Ratings 12-mth History



S.No.	Date of Report	Closing Price	12-mth Target Price	Rating
1:	29 Feb 24	12.98	14.00	HOLD
2:	13 May 24	14.28	14.90	HOLD
3:	06 Aug 24	13.84	14.90	HOLD
4:	08 Nov 24	16.06	16.10	HOLD

***Note** : Share price and Target price are adjusted for corporate actions.*

Source: DBS

Analysts: Rui Wen LIM

Singapore Research Team

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STRONG BUY (>20% total return over the next 3 months, with identifiable share price catalysts within this time frame)
BUY (>15% total return over the next 12 months for small caps, >10% for large caps)
HOLD (-10% to +15% total return over the next 12 months for small caps, -10% to +10% for large caps)
FULLY VALUED (negative total return, i.e., > -10% over the next 12 months)
SELL (negative total return of > -20% over the next 3 months, with identifiable share price catalysts within this time frame)

**Share price appreciation + dividends*

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Sources for all charts and tables are DBS unless otherwise specified.

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